Intel (INTC)

Turnaround Inflection

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*Turnaround Inflection. Q2 revenue up 25.4%, the fastest growth in more than 15 years; gross margin recovered to 40.4% from 27.5% a year earlier [Q2'26 ER]. Priced for Perfection. At $89.85 the market implies a 28% FCF CAGR, euphoric per our reverse DCF; DCF base $34.27 means 62% downside on fundamentals [DCF 17-Oct-26]. Foundry Optionality. The stock is a call option on external foundry wins. The EMIB-T packaging order book is the near-term proof point [Press Oct-26]. Our framework screens it as a **Hold** with a $33.74 blended target, 62% below the current price.*

HOLD	$33.74	-62%	$89.85
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

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Executive summary

Priced for Perfection. At $89.85 the market implies a 28% FCF CAGR, euphoric per our reverse DCF; DCF base $34.27 means 62% downside on fundamentals [DCF 17-Oct-26].

Foundry Optionality. The stock is a call option on external foundry wins. The EMIB-T packaging order book is the near-term proof point [Press Oct-26].

$16.13B	40.4% GAAP	$6.26B	~$5.8B	-$2.1B	$0.42
REVENUE (Q2 2026)	GROSS MARGIN (Q2 2026)	DATA CENTER & AI REVENUE	INTEL FOUNDRY REVENUE	FOUNDRY OP LOSS	NON-GAAP EPS (Q2 2026)

The moat is structural

Data Center & AI revenue up 59% on Xeon 6 demand; Nvidia is integrating Xeon 6 into DGX Rubin NVL8 after its $5B equity stake

Three scenarios make the valuation range explicit

The DCF values Intel across Bear, Base, and Bull scenarios, probability-weighted 25% / 50% / 25% into the blended target.

SCENARIO	WEIGHT	TARGET	UPSIDE
Bear (Conservative)	25%	**$28.19**	-69%
Base	50%	**$33.54**	-63%
Bull	25%	**$39.68**	-56%

Bear ($28.19, -69%): Growth disappoints and multiples compress; the $28.19 target marks the downside case.

Bull ($39.68, -56%): Execution compounds and the multiple rerates; the $39.68 target marks the upside case.

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The probability-blended target implies -62% upside

Blended target: $33.74 per share

A 25% Bear / 50% Base / 25% Bull weighting implies -62% upside from the $89.85 reference price.

$33.74

BLENDED TARGET

A live discount rate, not a static hurdle

The valuation uses a ten-year unlevered free cash flow DCF. The discount rate is the live CAPM rate: the 10-year Treasury yield plus beta times the market-implied equity risk premium. Terminal value is a Gordon perpetuity on terminal-year free cash flow.

NTM P/E 42.7x [Val 17-Oct-26] EV/Revenue (TTM) 9.3x [Val 17-Oct-26] DCF Base $34.27 [DCF 17-Oct-26] Market implies a 28.3% FCF CAGR. At 62% above base, this is a narrative price, not a fundamentals price.

Mechanics are explicit

The detailed EBIT-bridge format runs revenue to EBIT to cash taxes, then adds back D&A and subtracts capex and working-capital investment to reach unlevered free cash flow. Targets are divided by diluted shares outstanding.

Methodology note. The discount rate is the live U.S. 10-year Treasury yield plus beta times equity risk premium. Terminal growth reflects long-run nominal GDP. The $33.74 headline target applies 25% / 50% / 25% Bear / Base / Bull weights.

Data Center & AI revenue up 59% on Xeon 6 demand; Nvidia is integrating Xeon 6 into DGX Rubin NVL8 after its $5B equity stake [Press Oct-26]

18A yields beat target by ~25%; custom ASIC arm at ~$2B run-rate revenue targeting $4B [Mgmt guid]

US government equity stake plus $11.1B in CHIPS Act funding de-risks the fab build-out [Press Oct-26]

What to monitor

29-Oct-2026. Q3 2026 Earnings (Two-Sided): guidance is $15.8-16.8B revenue and $0.38 non-GAAP EPS. A test of the re-acceleration thesis.

H2 2026. 14A Customer Decisions (Positive): CFO claims conviction on landing external 14A customers, but none are named yet. Firm decisions are expected now.

2027-2028. EMIB-T Packaging Ramps (Two-Sided): reported Google/Amazon/Meta orders worth several billion dollars per customer; TSMC now publicly offers fallback capacity.

$16.13B	40.4% GAAP	$6.26B	~$5.8B
REVENUE (Q2 2026)	GROSS MARGIN (Q2 2026)	DATA CENTER & AI REVENUE	INTEL FOUNDRY REVENUE

Financial summary

YEAR	REVENUE	GROSS PROFIT	NET INCOME
2025	$52.9B	$18.4B	$-267M

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2024	$53.1B	$17.3B	$-18.8B
2023	$54.2B	$21.7B	$1.7B
2022	$63.1B	$26.9B	$8.0B

Key risks

Foundry Execution. External foundry revenue was only $293M of ~$5.8B in Q2; Intel has warned it may exit manufacturing if it cannot attract outside customers. [Press Oct-26]

Competitive Pressure. TSMC's 2nm process, AMD's EPYC outpacing Xeon 6, and Nvidia's near-monopoly in AI accelerators leave Gaudi with a structural ecosystem disadvantage. [Press Oct-26]

Capital Intensity. FY25 free cash flow was -$4.9B with $46.6B of debt and a suspended dividend; the heavy capex program must be funded while the foundry loses money. [10-K FY25]

Investment view

A named external 14A customer, or a Q3 beat that converts reported packaging orders into booked revenue, would lift Forward Growth and Catalysts. Conversely, continued foundry losses with no external wins would cut Trend and Growth further, and the valuation pillar has little floor while the price sits 2.6x our base case.

Hold. The $33.74 blended target implies -62% upside, balancing the $28.19 / $33.54 / $39.68 Bear / Base / Bull targets.

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Upcoming catalysts

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